

Executive summary

The LIMRA-EY 2025 Workforce Benefits Study highlights that employers of all shapes, sizes and sectors continue to face long-standing challenges related to rising medical costs, a diversifying workforce and technology-driven disruption. But new issues and opportunities — including the impact of macroeconomic uncertainty, increased adoption of artificial intelligence (AI) and the need for efficient administration of expanding leave management programs — have also emerged.

Overall, the findings of our latest biannual research show that benefits remain essential in the ongoing competition for talent and for offering a quality workplace experience for employees. Benefits portfolios are, however, rapidly evolving and expanding, a shift that highlights where yesterday's leading practices must give way to more innovative techniques. With core benefits offerings still as important as ever, nontraditional benefits are gaining traction in the market because they are particularly important to younger generations of workers. More options will likely be necessary in the future given that most benefits programs have been designed for baby boomers and Gen X, even though millennials and Gen Z now represent a larger proportion of the workforce.

Employers across industries have done great work in recent years to expand their benefits portfolios with a broader array of employer-paid, contributory and voluntary offerings. However, cost concerns and the inherent challenge of meeting the needs of a diverse and geographically dispersed workforce are significant constraints. Trends have long pointed to carefully curated benefits programs, with more opportunities for personalization. But it's clear that a "one-size-fits-all" approach to benefits isn't sustainable or relevant for a multigenerational workforce. Very few, if any, employers have the technology (or budget) to offer thousands of combinations of benefits and features to thousands of employees.

Our research also shows how the role of brokers continues to evolve and the increasing emphasis on providing strategic advisory services that help employers navigate the complex and ever-changing landscape. This ongoing shift illustrates the dynamic nature of today's workforce benefits market. Continued broker consolidation, however, may have unintended consequences. Our findings suggest that localized innovation could be stifled due to centralization and smaller employers may be left underserved. Consolidation may also allow newer entrants, general agencies (GAs) and professional employer organizations (PEOs) to win more market share.

At the same time, there are significant opportunities for AI — including generative AI (GenAI) and agentic AI — to streamline processes, enhance employee education and awareness, improve low benefits utilization rates and automate decision-making. Improvements in these areas will increase the relevance of benefits, which is an important goal for all market stakeholders.